

# Project Study: AI-Driven Reallocation of Labor in a Regulated Development Bank

KfW Banking Group

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# Company Description

## **Responsible banking**

KfW is one of the world's leading promotional banks. KfW has been committed to improving economic, social and environmental living conditions across the globe on behalf of the Federal Republic of Germany and the federal states since 1948. To do this, it provided funds totalling EUR 112.8 billion in 2024 alone.

## **A mandate to promote global development**

KfW does not have any branches and does not hold customer deposits. To refinance its business activities, KfW raised funds totalling around EUR 71 billion on the international capital markets in 2025 - EUR 14 billion of which through 'Green Bonds - Made by KfW'.

At its headquarters in Frankfurt am Main, at its two branches in Berlin and Bonn, at its subsidiaries KfW IPEX-Bank, DEG and KfW Capital, it employs 9,137 members of staff (as of 2025). It is represented at around 80 locations worldwide.

As a bank committed to responsibility, KfW supports people, countries and institutions who think ahead, driving our society towards the future. This profile is what clearly sets KfW apart from other commercial banks.

# Background

KfW is investing extensively in AI (including ChatKfW, Copilot, process automation, and Agentic AI). AI rarely replaces entire positions on a one-to-one basis. Instead, it shifts individual tasks, and thus capacity, between operational functions.

To date, there has been a lack of quantitative insight necessary for forward-looking, strategic workforce planning at a regulated institution: Which functions are exposed to AI and to what extent, how much capacity is freed up, and what happens to it?

This project study develops a model-based analytical tool for this purpose and tests it using two generic functional archetypes (Operations and IT) as examples. It deliberately avoids using internal KfW data and relies exclusively on publicly available benchmarks and transparently justified assumptions.

# Problem Definition

The goal is to develop a model-based reallocation model for selected functions (Operations and IT) that requires no data input from KfW whatsoever.

The students

- (a) map the AI task exposure of the functions, based on publicly available function and activity profiles (e.g., O\*NET/ESCO, public job descriptions from comparable institutions) and public exposure benchmarks (e.g., Eloundou et al.);
- (b) parameterize the model exclusively using public benchmarks and transparently justified assumptions (typical FTE/role distributions from industry metrics, adoption rates from the literature), as well as qualitative assessments from expert interviews, without relying on internal KfW metrics;
- (c) develop a scenario tool that simulates how much capacity will be freed up given a certain level of AI adoption; and
- (d) derive a decision-making framework specifying the conditions under which freed-up capacity will be reduced, reallocated, or converted into higher-value activities.

**Methodology:** The robustness of the forecasts is tested through sensitivity and scenario analyses, as well as by comparing them with public studies and expert assessments, not against internal R&D data.

**Result:** A documented model based on public data and assumptions, a scenario tool, and a management report with 3–5-year scenarios for the two pilot functions.

# Project Study Tasks/Assignment

Work on a **highly relevant** and **strategic project** with **impact**

The task of the project study: To develop a reallocation model as the primary outcome. The goal is not to deliver a fully developed solution, but to create a tangible, testable scenario tool that demonstrates the core idea and enables validation, feedback, and further development.



You will work directly with a contact person of the company & be supervised by the chair of Entrepreneurship and Family Enterprise



Benefits for students: Gain practical experience in data analysis and Excel modelling, enhance analytical and problem-solving skills, and build a strong portfolio through real-world AI adoption challenges.



# Requirements and Information

**Skills:** Interest in the Future of Work / organizational economics; quantitative methodology (data analysis, fundamentals of econometrics; knowledge of panel data and difference-in-differences (DiD) analysis is a plus); Python or R, or alternatively, strong Excel modeling skills; ability to conduct and evaluate expert interviews in a structured manner; contextual interest in the regulated financial sector and AI adoption.

**Language:** German / English

**Group Size:** 2 - 5 Students

**General Information:** [kfw.de](https://www.kfw.de)

# Application Process

*If you are interested in participating in the project study, please send the following application documents **per Email** to **Lorenz Tidow**:*

- (1) Letter of Motivation*
- (2) CV*
- (3) Transcript of Records*
- (4) Indicate Project Study of Interest*

*Project Start: Mid November 2026*

*Application Deadline: End of October  
2026*



## **Lorenz Tidow**

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